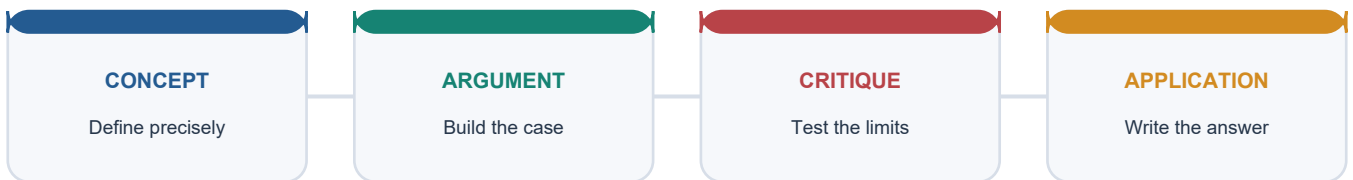


SOLVED PRACTICE WORKBOOK

MSMEs, PLI, Semiconductors and Manufacturing Strategy - Solved Practice Workbook

Economy | Topic 17 | Solved Practice Workbook

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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MSMEs, PLI, Semiconductors and Manufacturing Strategy - Solved Practice Workbook

Exactly 32 original questions appear before PYQs. Correct answers rotate A -> B -> C -> D eight times.

BASIC MCQS / REMEDIATION

MCQ 1

Under the classification effective from 1 April 2025, which row is correct?

A. Micro: investment $\leq$ Rs 2.5 crore and turnover $\leq$ Rs 10 crore. B. Micro: investment $\leq$ Rs 10 crore and turnover $\leq$ Rs 2.5 crore. C. Small: investment $\leq$ Rs 50 crore and turnover $\leq$ Rs 250 crore. D. Medium: only turnover is considered.

Answer: A.

Option-wise explanation:

- **A - Correct:** This exactly states both current micro ceilings under S.O. 1364(E). The option states: Micro: investment $\leq$ Rs 2.5 crore and turnover $\leq$ Rs 10 crore.
- **B - Incorrect:** This reverses the distinct investment and turnover ceilings. The option states: Micro: investment $\leq$ Rs 10 crore and turnover $\leq$ Rs 2.5 crore.
- **C - Incorrect:** These are superseded figures and not the current small limits. The option states: Small: investment $\leq$ Rs 50 crore and turnover $\leq$ Rs 250 crore.
- **D - Incorrect:** The notified classification remains a two-limb composite test. The option states: Medium: only turnover is considered.

Examiner trap 1: Do not reverse investment and turnover.

MCQ 2

An enterprise retains a size class when:

A. It satisfies either the investment or turnover ceiling. B. It satisfies both investment and turnover ceilings for that class. C. It chooses the criterion yielding the larger benefit. D. Its number of workers remains below a notified limit.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Either limb is insufficient under the composite rule. The option states: It satisfies either the investment or turnover ceiling.
- **B - Correct:** Both notified ceilings must be satisfied simultaneously. The option states: It satisfies both investment and turnover ceilings for that class.
- **C - Incorrect:** Enterprises cannot elect one classification limb. The option states: It chooses the criterion yielding the larger benefit.
- **D - Incorrect:** Employment is not the current classification criterion. The option states: Its number of workers remains below a notified limit.

Examiner trap 2: Composite means both, not either.

MCQ 3

Which statement about Udyam is most accurate?

A. It guarantees collateral-free credit. B. It is a product-quality certification. C. It provides an official registration identity but not assured finance or productivity. D. It replaces every tax and labour registration.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** A lender still appraises credit and scheme eligibility. The option states: It guarantees collateral-free credit.
- **B - Incorrect:** ZED and product standards are separate from Udyam. The option states: It is a product-quality certification.
- **C - Correct:** Registration reduces identity cost without guaranteeing outcomes. The option states: It provides an official registration identity but not assured finance or productivity.
- **D - Incorrect:** Other statutory registrations retain their own legal purposes. The option states: It replaces every tax and labour registration.

Examiner trap 3: Registration is a gateway, not an outcome.

MCQ 4

Economic Survey 2025-26's Udyam employment figure should be read as:

A. A verified census of permanent factory jobs. B. The number of workers added solely by Udyam. C. A current PLFS unemployment denominator. D. Employment reported by registered enterprises, dated to the portal extract.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Portal reporting is not a full employment census. The option states: A verified census of permanent factory jobs.
- **B - Incorrect:** Causal additionality cannot be inferred from the stock. The option states: The number of workers added solely by Udyam.
- **C - Incorrect:** PLFS and Udyam are different data systems. The option states: A current PLFS unemployment denominator.
- **D - Correct:** The Survey footnote identifies reported Udyam employment and its date. The option states: Employment reported by registered enterprises, dated to the portal extract.

Examiner trap 4: Keep administrative and survey data separate.

MCQ 5

For a micro or small supplier, the agreed payment period under the MSMED Act cannot exceed:

A. Forty-five days. B. Ninety days. C. One hundred and eighty days. D. One financial year.

Answer: A.

Option-wise explanation:

- **A - Correct:** Section 15 caps the agreed period at forty-five days. The option states: Forty-five days.
- **B - Incorrect:** Ninety days concerns the intended dispute-disposal period, not payment agreement. The option states: Ninety days.
- **C - Incorrect:** One hundred and eighty days is not the statutory payment ceiling. The option states: One hundred and eighty days.
- **D - Incorrect:** An annual accounting cycle cannot override the Act's limit. The option states: One financial year.

Examiner trap 5: Payment period and dispute period are different.

MCQ 6

TReDS primarily facilitates:

A. Long-term equity investment in MSMEs. B. Discounting of MSME trade receivables through multiple financiers. C. Sovereign grants for plant purchase. D. Credit ratings for listed small companies.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Equity fundraising is outside the TReDS mechanism. The option states: Long-term equity investment in MSMEs.
- **B - Correct:** The 2026 Directions define a digital factoring platform. The option states: Discounting of MSME trade receivables through multiple financiers.
- **C - Incorrect:** TReDS is not a budget grant programme. The option states: Sovereign grants for plant purchase.
- **D - Incorrect:** Platform operators do not act as rating agencies. The option states: Credit ratings for listed small companies.

Examiner trap 6: TReDS finances receivables, not machinery.

MCQ 7

Under RBI's 2026 TReDS Directions, a discounted factoring unit is generally:

A. A deposit accepted by the platform. B. A secured mortgage on the seller's factory. C. Without recourse to the MSME seller. D. A tax refund claim against government.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** TReDS does not accept public deposits. The option states: A deposit accepted by the platform.
- **B - Incorrect:** A receivable assignment differs from a factory mortgage. The option states: A secured mortgage on the seller's factory.
- **C - Correct:** Buyer default is not shifted back to the seller under the stated rule. The option states: Without recourse to the MSME seller.
- **D - Incorrect:** Commercial invoices are not tax refund instruments. The option states: A tax refund claim against government.

Examiner trap 7: Without recourse does not mean without risk.

MCQ 8

Factoring differs from an ordinary collateral loan because it involves:

A. Only a change in interest rate. B. Only a government guarantee. C. Only a credit score. D. Assignment of a trade receivable to the financier.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Pricing alone does not define factoring. The option states: Only a change in interest rate.
- **B - Incorrect:** A guarantee may accompany finance but is not factoring's essence. The option states: Only a government guarantee.
- **C - Incorrect:** A score does not transfer the payment claim. The option states: Only a credit score.
- **D - Correct:** Assignment transfers the receivable claim and is recorded as required. The option states: Assignment of a trade receivable to the financier.

Examiner trap 8: Follow ownership of the receivable.

MCQ 9

CGTMSE's current Rs 10 crore figure refers to:

A. The maximum eligible credit facility that can be covered, subject to scheme terms. B. A universal grant to every registered MSME. C. The guaranteed payout received by every borrower. D. A turnover ceiling for micro classification.

Answer: A.

Option-wise explanation:

- **A - Correct:** The facility ceiling applies from 1 April 2025 and is not an entitlement. The option states: The maximum eligible credit facility that can be covered, subject to scheme terms.
- **B - Incorrect:** CGTMSE provides guarantees to lenders, not universal grants. The option states: A universal grant to every registered MSME.
- **C - Incorrect:** Guarantee extent and amount in default determine risk coverage. The option states: The guaranteed payout received by every borrower.
- **D - Incorrect:** MSME classification uses separate investment-turnover ceilings. The option states: A turnover ceiling for micro classification.

Examiner trap 9: Covered credit is not guaranteed payout.

MCQ 10

The Central Public Procurement Policy's 25 per cent target applies to procurement from:

A. All companies below a stock-market threshold. B. Micro and small enterprises. C. Only medium enterprises. D. Only enterprises receiving PLI.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Listing status does not define the target group. The option states: All companies below a stock-market threshold.
- **B - Correct:** The policy is explicitly for MSEs, with subtargets. The option states: Micro and small enterprises.
- **C - Incorrect:** Medium enterprises are outside this specific target. The option states: Only medium enterprises.
- **D - Incorrect:** PLI participation is not a procurement prerequisite. The option states: Only enterprises receiving PLI.

Examiner trap 10: MSE is narrower than MSME.

MCQ 11

MSE-CDP is best associated with:

A. Automatic debt waiver. B. An export tax. C. Common facility centres and cluster infrastructure. D. Semiconductor wafer subsidies only.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Cluster development does not cancel debt. The option states: Automatic debt waiver.
- **B - Incorrect:** Tax instruments are outside its core design. The option states: An export tax.
- **C - Correct:** It lowers shared fixed costs through common facilities and infrastructure. The option states: Common facility centres and cluster infrastructure.
- **D - Incorrect:** The programme is cross-sectoral for qualifying MSE clusters. The option states: Semiconductor wafer subsidies only.

Examiner trap 11: A cluster label does not prove utilisation.

MCQ 12

Under revised 2022 ZED guidelines, certification levels are:

A. One, Two and Three. B. Basic, Export and Global. C. Red, Amber and Green. D. Bronze, Silver and Gold.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Numerical levels are not the notified names. The option states: One, Two and Three.
- **B - Incorrect:** Export status is not the level taxonomy. The option states: Basic, Export and Global.
- **C - Incorrect:** Traffic-light colours are not the certification ladder. The option states: Red, Amber and Green.
- **D - Correct:** Bronze, Silver and Gold form the graded scheme structure. The option states: Bronze, Silver and Gold.

Examiner trap 12: ZED is process certification, not a warranty.

MCQ 13

RAMP is correctly described as:

A. A World Bank-supported results programme for MSME institutional and firm support. B. A permanent pandemic guarantee. C. A semiconductor fabrication subsidy. D. A mandatory bank lending ratio.

Answer: A.

Option-wise explanation:

- **A - Correct:** RAMP uses Programme-for-Results architecture through FY2027. The option states: A World Bank-supported results programme for MSME institutional and firm support.
- **B - Incorrect:** ECLGS was the emergency guarantee and its window closed. The option states: A permanent pandemic guarantee.
- **C - Incorrect:** Semiconductor support is administered through ISM schemes. The option states: A semiconductor fabrication subsidy.
- **D - Incorrect:** Priority-sector directions, not RAMP, set lending ratios. The option states: A mandatory bank lending ratio.

Examiner trap 13: RAMP's target is not an outcome.

MCQ 14

The operational window of ECLGS ended on:

A. 31 March 2025. B. 31 March 2023. C. 30 June 2026. D. It has no sunset.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** This date confuses later MSME revisions with ECLGS. The option states: 31 March 2025.
- **B - Correct:** Official material records operation through 31 March 2023. The option states: 31 March 2023.
- **C - Incorrect:** The 2026 date belongs to other frameworks. The option states: 30 June 2026.
- **D - Incorrect:** The emergency scheme was expressly time-bound. The option states: It has no sunset.

Examiner trap 14: Do not list ECLGS as open in 2026.

MCQ 15

The 'missing middle' concern is primarily about:

A. Too many listed conglomerates. B. Absence of all micro firms. C. Failure of productive firms to scale into a strong medium-firm segment. D. A shortage of currency notes.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Conglomerate concentration is a different issue. The option states: Too many listed conglomerates.
- **B - Incorrect:** India has a large micro-enterprise base. The option states: Absence of all micro firms.
- **C - Correct:** Weak graduation and scaling create the missing-middle pattern. The option states: Failure of productive firms to scale into a strong medium-firm segment.
- **D - Incorrect:** Money supply has no direct relation to this label. The option states: A shortage of currency notes.

Examiner trap 15: Graduation is a policy success, not a failure.

MCQ 16

A core feature of PLI is:

A. Guaranteed payment at announcement. B. An unconditional loan waiver. C. A uniform tariff across sectors. D. Support linked to notified eligible incremental production or sales.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Announcement precedes eligibility and verification. The option states: Guaranteed payment at announcement.
- **B - Incorrect:** PLI does not cancel beneficiary debt. The option states: An unconditional loan waiver.
- **C - Incorrect:** A tariff changes import prices and is a separate instrument. The option states: A uniform tariff across sectors.
- **D - Correct:** The performance link defines the scheme family. The option states: Support linked to notified eligible incremental production or sales.

Examiner trap 16: PLI is not payment for announced capacity.

MCQ 17

Formula additionality under PLI usually begins with:

A. Eligible current performance compared with a notified base. B. Total market sales with no baseline. C. Only the beneficiary's land value. D. The number of government approvals.

Answer: A.

Option-wise explanation:

- **A - Correct:** Incremental performance is calculated relative to a specified base. The option states: Eligible current performance compared with a notified base.
- **B - Incorrect:** Without a base, incremental measurement is impossible. The option states: Total market sales with no baseline.
- **C - Incorrect:** Land value is not the production-linked formula. The option states: Only the beneficiary's land value.
- **D - Incorrect:** Approvals are an implementation stage, not output. The option states: The number of government approvals.

Examiner trap 17: A formula baseline is not a causal counterfactual.

MCQ 18

Why must PLI guidelines be read sector by sector?

- A. Every sector has identical products and cycles. B. Thresholds, rates, base years, tenure and eligible products vary. C. Only States administer every scheme. D. All incentives are paid before production.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Industrial technologies and failures differ substantially. The option states: Every sector has identical products and cycles.
- **B - Correct:** Sectoral notifications control eligibility and payment. The option states: Thresholds, rates, base years, tenure and eligible products vary.
- **C - Incorrect:** Line ministries and Union frameworks have major roles. The option states: Only States administer every scheme.
- **D - Incorrect:** Verification generally precedes disbursement. The option states: All incentives are paid before production.

Examiner trap 18: Never borrow one sector's rate for another.

MCQ 19

Which instrument is triggered primarily by eligible investment expenditure?

- A. Procurement preference. B. Import tariff. C. Capital-expenditure subsidy. D. PLI in every sector by definition.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Procurement changes buyer choice. The option states: Procurement preference.
- **B - Incorrect:** A tariff changes the import price. The option states: Import tariff.
- **C - Correct:** A capex subsidy is tied to qualifying investment cost. The option states: Capital-expenditure subsidy.
- **D - Incorrect:** PLI is ordinarily output/sales-linked though hybrid schemes exist elsewhere. The option states: PLI in every sector by definition.

Examiner trap 19: Classify by the trigger, not the label.

MCQ 20

Which is among the official fourteen PLI sectors?

- A. Municipal property taxation. B. Judicial administration. C. School midday meals. D. Speciality steel.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Local taxation is not a PLI manufacturing sector. The option states: Municipal property taxation.
- **B - Incorrect:** Court administration is outside the sector list. The option states: Judicial administration.
- **C - Incorrect:** Nutrition delivery is not one of the fourteen sectors. The option states: School midday meals.
- **D - Correct:** Speciality steel is included in the official portfolio. The option states: Speciality steel.

Examiner trap 20: PLI does not cover all economic activity.

MCQ 21

Economic additionality asks:

A. Whether the supported activity exceeds a credible no-policy counterfactual. B. Whether gross sales exceed the incentive amount only. C. Whether the beneficiary is large. D. Whether the scheme has a press release.

Answer: A.

Option-wise explanation:

- **A - Correct:** The causal counterfactual is the central test. The option states: Whether the supported activity exceeds a credible no-policy counterfactual.
- **B - Incorrect:** A simple subtraction omits displacement and pre-planned investment. The option states: Whether gross sales exceed the incentive amount only.
- **C - Incorrect:** Firm size cannot prove causal impact. The option states: Whether the beneficiary is large.
- **D - Incorrect:** Announcement evidence does not establish an effect. The option states: Whether the scheme has a press release.

Examiner trap 21: Observed growth is not automatically caused by PLI.

MCQ 22

Domestic value added is best approximated by:

A. Gross exports plus imported inputs. B. Gross output minus imported intermediate content. C. Total subsidy minus taxes. D. Market capitalisation minus debt.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Adding imports double-counts foreign value. The option states: Gross exports plus imported inputs.
- **B - Correct:** Subtracting imported intermediates isolates domestic production value. The option states: Gross output minus imported intermediate content.
- **C - Incorrect:** Fiscal arithmetic does not measure production value added. The option states: Total subsidy minus taxes.
- **D - Incorrect:** Financial valuation is not the national-accounts concept. The option states: Market capitalisation minus debt.

Examiner trap 22: Assembly value and gross output are not DVA.

MCQ 23

Under WTO subsidy rules, the clearest design risk arises when support is contingent on:

A. General worker training. B. Open infrastructure. C. Exports or use of domestic over imported goods. D. Origin-neutral R&D access.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Broad training is not the classic prohibited contingency. The option states: General worker training.
- **B - Incorrect:** General infrastructure is treated differently from firm-specific export support. The option states: Open infrastructure.
- **C - Correct:** Export and import-substitution contingencies are specifically sensitive. The option states: Exports or use of domestic over imported goods.
- **D - Incorrect:** Origin-neutral R&D may still need analysis but is not the stated trigger. The option states: Origin-neutral R&D access.

Examiner trap 23: Not every industrial subsidy is WTO-prohibited.

MCQ 24

A robust PLI scorecard should include:

A. Only sanctioned outlay. B. Only the number of beneficiaries. C. Only stock-market valuation. D. Output, DVA, jobs, exports, productivity, spillovers and fiscal additionality.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Outlay is an input rather than a structural outcome. The option states: Only sanctioned outlay.
- **B - Incorrect:** Beneficiary count says little about capability. The option states: Only the number of beneficiaries.
- **C - Incorrect:** Market value is influenced by many unrelated factors. The option states: Only stock-market valuation.
- **D - Correct:** The multi-metric set captures depth, distribution and counterfactual value. The option states: Output, DVA, jobs, exports, productivity, spillovers and fiscal additionality.

Examiner trap 24: One headline cannot validate industrial policy.

MCQ 25

Which sequence correctly maps the semiconductor value chain?

A. Design -> wafer fabrication -> assembly/package/test -> electronics integration. B. Packaging -> iron smelting -> crop processing -> design. C. Electronics retail -> mining only -> software tax. D. Wafer fabrication -> design begins after sale.

Answer: A.

Option-wise explanation:

- **A - Correct:** This is the core functional sequence, with materials/equipment supporting it. The option states: Design -> wafer fabrication -> assembly/package/test -> electronics integration.
- **B - Incorrect:** The listed activities mix unrelated sectors. The option states: Packaging -> iron smelting -> crop processing -> design.
- **C - Incorrect:** Retail and tax do not describe chip production. The option states: Electronics retail -> mining only -> software tax.
- **D - Incorrect:** Design necessarily precedes fabrication of that design. The option states: Wafer fabrication -> design begins after sale.

Examiner trap 25: A semiconductor chain is not an electronics assembly line.

MCQ 26

An OSAT facility primarily performs:

A. Chip architecture only. B. Outsourced semiconductor assembly and testing. C. Silicon-wafer crystal mining only. D. Electricity generation for fabs.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Architecture belongs to design houses. The option states: Chip architecture only.
- **B - Correct:** OSAT names the outsourced back-end function. The option states: Outsourced semiconductor assembly and testing.
- **C - Incorrect:** Raw-material production is separate. The option states: Silicon-wafer crystal mining only.
- **D - Incorrect:** Utilities enable but do not define OSAT. The option states: Electricity generation for fabs.

Examiner trap 26: OSAT is not a wafer fab.

MCQ 27

A smaller process-node label always means:

A. Lower cost for every application. B. Higher yield from day one. C. Nothing universal; application, cost, yield and manufacturer conventions matter. D. The chip was packaged domestically.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Leading-edge processes can be more expensive. The option states: Lower cost for every application.
- **B - Incorrect:** Yield requires learning and is not guaranteed. The option states: Higher yield from day one.
- **C - Correct:** Node labels require application-specific qualification. The option states: Nothing universal; application, cost, yield and manufacturer conventions matter.
- **D - Incorrect:** Packaging location is unrelated to node size. The option states: The chip was packaged domestically.

Examiner trap 27: Mature nodes remain economically important.

MCQ 28

Why is yield central to fab economics?

A. It guarantees customer demand. B. It is another name for government subsidy. C. It measures only factory land area. D. It determines the share of fabricated dies meeting specification.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Demand and qualification remain separate risks. The option states: It guarantees customer demand.
- **B - Incorrect:** Fiscal support and process yield are distinct. The option states: It is another name for government subsidy.
- **C - Incorrect:** Land area cannot measure functioning dies. The option states: It measures only factory land area.
- **D - Correct:** Good-die yield directly affects saleable output and unit cost. The option states: It determines the share of fabricated dies meeting specification.

Examiner trap 28: Wafer capacity is not good-die output.

MCQ 29

Semicon India 1.0 was approved with an outlay of:

A. Rs 76,000 crore. B. Rs 6,062.45 crore. C. Rs 10 crore. D. Rs 1.97 lakh crore.

Answer: A.

Option-wise explanation:

- **A - Correct:** The Cabinet approved Rs 76,000 crore on 15 December 2021. The option states: Rs 76,000 crore.
- **B - Incorrect:** This is RAMP's programme outlay. The option states: Rs 6,062.45 crore.
- **C - Incorrect:** This is the current CGTMSE facility ceiling. The option states: Rs 10 crore.
- **D - Incorrect:** This is the approximate umbrella PLI outlay. The option states: Rs 1.97 lakh crore.

Examiner trap 29: Outlay is not commercial production.

MCQ 30

Semicon 2.0 is correctly described as:

A. A renamed TReDS platform. B. Approved 15 July 2026 with Rs 1,27,500 crore and six pillars. C. A 2020 micro-enterprise registration scheme. D. A completed set of profitable fabs.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** TReDS is regulated by RBI and finances receivables. The option states: A renamed TReDS platform.
- **B - Correct:** The ISM site records the approval, outlay and six-pillar design. The option states: Approved 15 July 2026 with Rs 1,27,500 crore and six pillars.
- **C - Incorrect:** Udyam is the registration framework. The option states: A 2020 micro-enterprise registration scheme.
- **D - Incorrect:** New notifications do not establish project profitability. The option states: A completed set of profitable fabs.

Examiner trap 30: Notification is an implementation start, not an outcome.

MCQ 31

Which official status statement is accurate at the 9 September 2026 cutoff?

A. Every approved chip project was in commercial production. B. HCL-Foxconn's project was located in Madhya Pradesh. C. Micron's Sanand ATMP had commenced commercial production in February 2026. D. Crystal Matrix and Suchi Semicon were both operating silicon wafer fabs.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Projects remained at different implementation stages. The option states: Every approved chip project was in commercial production.
- **B - Incorrect:** The recorded groundbreaking was at Jewar, Uttar Pradesh. The option states: HCL-Foxconn's project was located in Madhya Pradesh.
- **C - Correct:** The official ISM timeline uses this stage and date. The option states: Micron's Sanand ATMP had commenced commercial production in February 2026.
- **D - Incorrect:** The May approvals cover compound fab-plus-ATMP and OSAT, not two operating silicon fabs. The option states: Crystal Matrix and Suchi Semicon were both operating silicon wafer fabs.

Examiner trap 31: Use the exact stage verb for every project.

MCQ 32

Electronics manufacturing and semiconductor manufacturing are:

A. Always the same factory process. B. Distinguished only by firm size. C. Unrelated because electronics never use chips. D. Different layers: electronic systems may assemble imported chips, while semiconductor production creates or packages chips.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Assembly and fabrication involve different processes and capabilities. The option states: Always the same factory process.
- **B - Incorrect:** Legal size classification does not define technology. The option states: Distinguished only by firm size.
- **C - Incorrect:** Modern electronics normally incorporate semiconductor devices. The option states: Unrelated because electronics never use chips.

- **D - Correct:** This preserves the product-layer distinction. The option states: Different layers: electronic systems may assemble imported chips, while semiconductor production creates or packages chips.

Examiner trap 32: Electronics scale does not prove domestic chip fabrication.

PYQS AND ANSWER PRACTICE

VERIFIED MAINS PYQ - 2023 GS-III - 10 marks

Question: Faster economic growth requires increased share of the manufacturing sector in GDP, particularly of MSMEs. Comment on the present policies of the Government in this regard. (Answer in 150 words)

Status: Exact English wording independently extracted from the local official question paper. The solution below is original and is not claimed as an official UPSC model answer.

Model solution (136 words):

MSMEs can deepen manufacturing through entrepreneurship, regional dispersion and supplier networks, but their large employment footprint does not automatically imply high productivity.

Current policy addresses distinct constraints. Udyam provides formal identity; the investment-turnover classification was revised from 1 April 2025. CGTMSE shares lender risk, TReDS finances accepted receivables, and the MSMED Act addresses delayed payments. MSE procurement creates market access, while cluster facilities, ZED and RAMP target technology, standards and institutional capability.

The limitation is fragmentation. Registration does not assure credit; guarantees do not cure weak appraisal; buyers may delay invoice acceptance; and size-linked benefits may discourage graduation.

Policy should therefore measure active-firm survival, formal jobs, wages, productivity, domestic value, export capability and movement into medium-scale firms. MSME support raises manufacturing growth only when finance, payment discipline, technology, quality, infrastructure and markets operate as one progression.

VERIFIED MAINS PYQ - 2025 GS-III - 15 marks

Question: Discuss the rationale of the Production Linked Incentive (PLI) scheme. What are its achievements? In what way can the functioning and outcomes of the scheme be improved? (Answer in 250 words)

Status: Exact English wording independently extracted from the local official question paper. The solution below is original and is not claimed as an official UPSC model answer.

Model solution (204 words):

PLI links fiscal support to verified eligible incremental production or sales. Its rationale is to overcome scale, learning, coordination and strategic-dependence barriers while limiting payment for idle capacity.

The umbrella covers fourteen sectors with about Rs 1.97 lakh crore announced outlay. DPIIT's year-end review dated 10 December 2025, using data through June 2025, reported over Rs 1.88 lakh crore investment, Rs 17 lakh crore incremental production or sales, Rs 7.5 lakh crore exports and 12.3 lakh direct and indirect jobs. Electronics and other sectors show that scale and exports can respond.

These are gross programme outcomes, not proof of counterfactual additionality. Sales can be import-intensive; jobs may be estimated; favourable base years can inflate claims; high thresholds can exclude MSMEs; and repeated support can entrench incumbents. WTO risk depends on whether legal conditions are tied to exports or domestic content.

Improvement requires sector-specific domestic-value and productivity milestones, transparent selection, audited claims and disbursements, supplier-development obligations, competition review and independent counterfactual evaluation. Job reporting should state payroll, wage and skill quality. A credible sunset with mid-course review should end weak schemes and redesign genuine coordination failures.

PLI succeeds only when temporary support creates firms and ecosystems competitive after the incentive ends.

VERIFIED MAINS PYQ - 2025 GS-III - 15 marks

Question: India aims to become a semiconductor manufacturing hub. What are the challenges faced by the semiconductor industry in India? Mention the salient features of the India Semiconductor Mission. (Answer in 250 words)

Status: Exact English wording independently extracted from the local official question paper. The solution below is original and is not claimed as an official UPSC model answer.

Model solution (213 words):

Semiconductors require an ecosystem spanning design, EDA and IP, materials, equipment, wafer fabrication, ATMP-OSAT, skilled talent and downstream demand. India's strengths in engineering and electronics demand coexist with gaps in fabrication experience, specialised suppliers and product IP.

Challenges include very high and rapidly obsolescing capital cost, long gestation, technology partnerships, reliable power, ultra-pure water, cleanroom operations, tool maintenance and yield learning. Commercial viability depends on utilisation and good-die yield, not installed wafer capacity alone. Global subsidy competition, concentrated equipment supply and uncertain technology cycles add fiscal and strategic risk.

The Union Cabinet approved Semicon India 1.0 on 15 December 2021 with Rs 76,000 crore outlay. Through ISM under MeitY it supported silicon/display fabs, compound semiconductors, ATMP-OSAT and chip design. Official milestones include commercial production at Micron's ATMP and Kaynes' OSAT facilities in 2026, while other projects remain at approval, agreement or construction stages.

Semicon 2.0 was approved on 15 July 2026 with Rs 1,27,500 crore outlay; all six pillars were notified on 31 August. It covers design, machines/materials, more fabs, stronger ATMP-OSAT, R&D and talent.

Policy should use milestone finance, environmental safeguards, demand linkages, diversified partners and stage-specific reporting. Mission approval is not commercial production, and resilience does not require uneconomic duplication of every input.

OBJECTIVE PYQ ROUTES - OFFICIAL-KEY DISCIPLINE

Year	Exact/routed demand	Key treatment
2023 Prelims GS-I Q71	MSMED Act medium-enterprise investment statement and priority-sector bank-credit statement	Answer withheld pending official UPSC key.
2023 Prelims GS-I Q88	India's global goods-export share and use of PLI by local/foreign companies	Answer withheld pending official UPSC key.
2026 Prelims GS-I Q93	Mixchange role: collateral loans, invoice/bill discounting and credit rating	Answer withheld pending official UPSC key.
2026 Prelims GS-I semiconductor-location question	CG Power, Tata Semiconductor Assembly and Test, HCL-Foxconn India Chip and SiCSem locations	Answer withheld pending official UPSC key.

The 2026 local key is provisional. No provisional option is promoted into an official answer.

ORIGINAL MAINS PRACTICE WITH MODEL SOLUTIONS

ORIGINAL MAINS 1 - 10 MARKS

Question: Explain why MSME policy should support graduation rather than permanent smallness. Answer in 150 words.

Model answer:

MSMEs broaden entrepreneurship, regional industry and supplier networks, but policy should promote productive graduation rather than preserve smallness.

Economic Survey 2025-26 reports their large manufacturing, export and GDP footprint. Yet Udyam registration is an administrative identity, not proof of active production or productivity. Micro firms face different constraints: collateral, unpaid invoices, technology, standards, skills and market access.

An effective strategy therefore sequences Udyam, suitable credit or TReDS, payment enforcement, shared cluster facilities, ZED quality systems and procurement access. Transition support should reduce the cost of crossing size thresholds.

The test is not the number of registered enterprises. It is survival, formal jobs, wages, productivity, supplier upgrading and movement into competitive medium firms, with targeted support for women and disadvantaged entrepreneurs.

Native-body word count: 135 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 2 - 10 MARKS

Question: Distinguish delayed-payment remedies, TReDS, factoring and credit guarantees. Answer in 150 words.

Model answer:

Delayed payments create an MSME liquidity crisis. The MSMED Act limits the agreed payment period for micro and small suppliers to forty-five days and provides statutory interest and MSEFC remedies.

Finance instruments must match the problem. TReDS discounts accepted receivables through competing financiers and, under RBI's 23 June 2026 Directions, transactions are without recourse to sellers. Factoring assigns the payment claim; it is not machinery finance. CGTMSE instead shares lender loss on eligible credit, while SIDBI provides development and financing support.

These mechanisms fail when buyers do not accept invoices, suppliers fear commercial retaliation, or enforcement remains slow. ODR can lower dispute cost but cannot erase bargaining power.

Policy should track acceptance time, discount cost, recovery, repeat orders and cash-conversion days rather than portal registrations alone.

Native-body word count: 141 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 3 - 15 MARKS

Question: Critically evaluate Production Linked Incentive schemes through additionality and domestic value addition. Answer in 250 words.

Model answer:

PLI links public support to eligible incremental production or sales, seeking scale, learning, investment and strategic resilience. Its strength is ex-post verification: a factory announcement alone earns nothing.

Named evidence is the fourteen-sector umbrella with about Rs 1.97 lakh crore announced outlay. DPIIT's 10 December 2025 review, using data through June 2025, reported investment, incremental sales, exports and employment. These show implementation scale, not causal success.

Evaluation must separate outlay, approval, investment, production, claim and disbursement. Economic additionality asks whether activity would have occurred without support. Domestic value addition subtracts imported inputs; gross exports may remain assembly-heavy. Jobs require payroll, wage, skill and displacement checks.

Risks include favourable base years, deadweight subsidy, concentration among incumbents, exclusion of smaller suppliers, import-heavy output and pressure for extension. WTO exposure depends on the legal trigger, especially export or local-content contingency.

Sector comparisons should normalise investment cycles, price changes and market growth. Publishing rejected claims, supplier outcomes and beneficiary concentration would improve accountability and reveal whether verification is strict.

PLI should therefore retain sector-specific milestones, transparent beneficiary selection, competition review, supplier-development plans, independent counterfactual evaluation and a credible sunset. It is useful only if temporary fiscal support creates post-incentive productivity and technological depth.

Native-body word count: 215 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 4 - 15 MARKS

Question: Design a balanced manufacturing strategy for India. Answer in 250 words.

Model answer:

India's manufacturing strategy must combine horizontal foundations with selective capability building. Reliable power, logistics, serviced land, skills, finance, contract enforcement and predictable regulation lower costs for every firm. Targeted instruments are justified where learning, coordination or strategic-dependence failures are demonstrable.

Economic Survey 2025-26 identifies five reform pillars: ease of doing business, R&D and innovation, skilling, infrastructure and logistics, and scaling MSMEs. Industrial clusters can pool suppliers, laboratories, workers and transport, but a park becomes an ecosystem only through utilisation and institutional agility.

PLI can help anchor scale, while Udyam, CGTMSE, TReDS, ZED, cluster facilities and procurement help smaller suppliers meet quality, cost and delivery requirements. Make in India mobilises investment; Atmanirbhar Bharat should mean resilient, competitive capability rather than autarky.

Policy must protect competition. Large anchor firms can organise value chains, yet repeated support may entrench incumbents. Imports of technology and inputs can accelerate learning, while indiscriminate localisation may raise cost.

Success should be measured through additional investment, domestic value, exports, productive jobs, supplier spillovers, innovation, regional distribution and fiscal cost. States should compete on implementation quality, while national standards preserve a common market and limit subsidy races. Periodic review and sunset convert industrial policy from discretion into disciplined experimentation.

Native-body word count: 216 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 5 - 20 MARKS

Question: Assess India's semiconductor strategy and current implementation architecture. Answer in 250 words.

Model answer:

A semiconductor ecosystem extends from architecture, EDA tools and IP cores to materials, equipment, wafer fabrication, assembly, packaging, testing and downstream electronics. India must therefore avoid treating every electronics plant or packaging unit as a fab.

Semicon India 1.0, approved on 15 December 2021 with Rs 76,000 crore outlay, supported fabs, compound devices, ATMP-OSAT and design. The official ISM timeline records Micron ATMP commercial production in February 2026, Kaynes OSAT production in March and CG Semi OSAT inauguration in July. These are stage-specific achievements, not proof of utilisation or yield.

Fab economics depend on capital cost, stable power, ultra-pure water, technology access, skilled process teams, tool service, utilisation and good-die yield. Advanced nodes are not universally superior; mature nodes remain important for automotive, power and industrial chips.

Semicon 2.0, approved on 15 July 2026 with Rs 1,27,500 crore outlay and notified across six pillars on 31 August, adds design, machines/materials, more fabs, ATMP-OSAT, R&D and talent.

The strategy should prioritise bottlenecks, commercial demand, partner diversification, IP ownership, environmental safeguards and milestone-based finance. Approval, groundbreaking, inauguration and commercial production must remain distinct. Resilience is diversified capability, not complete autarky.

Native-body word count: 210 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 6 - 20 MARKS

Question: How can MSMEs be integrated into global value chains without discouraging firm growth? Answer in 250 words.

Model answer:

India can connect MSMEs to global value chains only by converting formal identity into reliable supplier capability. Udyam reduces identification cost, but exporters require finance, timely payment, standards, process control, logistics, technology and recurring buyers.

Clusters create agglomeration economies when firms share laboratories, training, effluent treatment, tool services and transport. MSE-CDP and ZED can reduce indivisible quality costs; TReDS shortens cash cycles; procurement can provide an initial market. PLI-supported anchors can generate supplier demand, but only if qualification, domestic sourcing and knowledge transfer are commercially credible.

The missing-middle problem shows why permanent size protection is insufficient. Transition support should help firms cross thresholds without abruptly losing all benefits. SIDBI and CGTMSE should crowd in viable finance rather than weaken appraisal.

GVC participation must be evaluated through on-time delivery, defect rates, domestic value added, export diversification, wages, productivity and progression into higher-value stages. Imported inputs can support efficient upgrading, whereas forced localisation may reduce competitiveness or create WTO risk.

Government should publish cluster and anchor-supplier scorecards, strengthen contract enforcement, fund shared testing and skills, and review support against counterfactual outcomes. The objective is not more scheme beneficiaries but more firms capable of competing after support ends.

Native-body word count: 210 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.